EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Faire was founded on November 27, 1897 and got its name in honor of its founder, Captain Miguel Faire by virtue of Executive Order No. 2390 dated February 28, 1932. Sometime in December of 1971, during the incumbency of then Mayor Leandro Pagurayan, a resolution was passed changing the name Faire to Sto. Niño.

The objectives of the Municipality of Sto. Niño are to implement development projects and programs to increase tax revenues thru better collection procedures and measures. In line with these objectives, the Local Chief Executive and the Sangguniang Bayan Members, thru the Presiding Officer committed themselves to the delivery of the basic services to their constituents that are geared towards the development of the municipality as a self-reliant community.

For CY 2022, the Municipality of Sto. Niño had a total of 363 personnel complement with 109 permanent, 12 elective, 3 co-terminus, 23 casual and 216 job order status.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Sto. Niño, Cagayan for CY 2022 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year-ended December 31, 2022, with comparative figures for CY 2021 are as follows:

	2022	2021	Increase (Decrease)
Financial Position			
Total Assets	662,186,337.15	528,892,906.56	133,293,430.59
Total Liabilities	137,978,436.29	124,797,091.44	13,181,344.85
Total Government Equity	524,207,900.86	404,095,815.12	120,112,085.74
Financial Performance			
Total Income (Includes Subsidy from Other Funds)	309,920,245.23	212,524,825.18	97,395,420.05

Total Expenses (Include Total Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	187,447,032.90	154,172,322.50	33,274,710.40
Appropriations, Allotments and Obligations			
Total Appropriations – Current	320,426,138.00	204,284,509.75	116,141,628.25
Total Obligations - Current	239,679,360.76	175,362,755.69	64,316,605.07
Total Appropriations - Continuing	85,580,538.09	80,831,954.35	4,748,583.74
Total Obligations - Continuing	17,292,794.14	24,259,328.32	(6,966,534.18)

The Municipality received fund transfers from other agencies totaling P30,066,201.084 and there had been no transferred funds to barangays during CY 2022 with comparative figures for CY 2021, as follows:

	2022	2021	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	30,066,201.08	2,674,103.00	27,392,098.08
Local Government Units	-	100,000.00	(100,000.00)
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-	-	-
Funds Transferred to:			
Local Government Units	-	-	-
Total	**30,066,201.08**	**2,774,103.00**	**27,292,098.08**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements as of December 31, 2022 of Sto. Niño, Cagayan because these are materially misstated by an aggregate amount of P43,691,754.75 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Sto. Niño disclosed misstatements totaling **P43,691,754.75** in absolute value as follows:

Account	Asset	Liability	Prior Period Adjustment/ Revenue/ Expense	Total
Cash in Bank LCCA	17,878,836.98			17,878,836.98
Property, Plant, and Equipment	14,625,510.49			14,625,510.49
Inventory	4,616,948.77			4,616,948.77
Grants and Donations in Kind			3,730,446.65	3,730,446.65

Due to NGAs		2,561,413.96		2,561,413.96
Accounts Payable		278,597.90		278,597.90
Total				**43,691,754.75**

As a result, the following accounts in the financial statements of the Municipality of Sto. Niño were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Cash in Bank -Local Currency, Current Account	17,878,836.98		1
Inventory		4,616,948.77	4
PPE	9,489,444.39	5,136,066.10	2 & 3
Accounts Payable		278,597.90	8
Due to NGAs		2,561,413.96	6
Grants and Donations In-Kind	3,730,446.65		5
Total	**31,098,728.02**	**14,843,320.57**	**43,691,754.75**

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations, which were discussed with the concerned Management officials in an exit conference conducted on April 20, 2023:

1. **The Due from Other Funds of P42,462,111.70 and Due to Other Funds of P679,159.68 reciprocal accounts of the Municipality showed a significant amount of discrepancy by P41,782,952.02 as of year-end, thus, rendering the balances unreliable.**

   We recommended that the Management require the Accounting Office to look into the details of the Due from Other Funds and Due to Other Funds accounts as basis in reconciling the difference of P41,782,952.02 and correspondingly, make necessary adjusting entries to arrive at the correct balances of the reciprocal accounts.

2. **Deferred Special Education Tax Income in the amount of P25,392,816.92 was erroneously recorded as Deferred Real Property Tax Income under the Special Education Fund, thereby overstating the Deferred Real Property Tax Income and likewise understating the Deferred Special Education Tax Income by the same amount.**

   Moreover, the Real Property Tax Receivable and Special Education Tax Receivable accounts amounting to P12,370,573.30 and 25,392,816.92, respectively, did not tally with its reciprocal accounts, Deferred Real Property Tax Income and Deferred Special Education Tax Income of P12,558,350.74 and 25,205,039.25, by P187,777.44 and 187,777.67, respectively, contrary to Section 20, Chapter 3, Volume I of the Manual on New Government Accounting System (NGAS) for Local Government Units (LGUs).

We recommended that the Management require the Municipal Accountant-Designate to effect the necessary adjusting journal entry to reclassify the Deferred Property Tax Income to Deferred Special Education Tax Income in the amount of P25,392,816.92 in order to reflect the correct balances of the said accounts.

Recommended entry:

	Debit	Credit
Deferred Real Property Tax Income	25,392,816.92	
Deferred Special Education Tax Income		25,392,816.92

We also recommended that the Management require the Municipal Accountant-Designate to reconcile the balances of the Real Property Tax Receivable and Special Education Tax Receivable accounts with its respective reciprocal accounts, Deferred Real Property Tax Income and Deferred Special Education Tax Income in the amount of P187,777.44 and P187,777.67, respectively.

Lastly, we recommended that the Municipal Accountant-Designate review carefully the proper accounts to be used in recording transactions.

3. **Advances to Officers and Employees and Advances for Payroll accounts amounting to P1,605,828.07 and P644,465.77, respectively remained unliquidated at year-end contrary to the pertinent provisions of Presidential Decree (PD) No. 1445, COA Circular No. 97-002 dated February 10, 1997, resulting in the delayed recognition of expenses that were paid out of said cash advances and exposing any unused cash advances to risk of loss and/or misappropriation.**

   We recommended that the Management require the Municipal Accountant to issue demand letters to the Accountable Officers concerned to immediately liquidate their outstanding cash advances pursuant to the provisions of PD 1445, COA Circular No. 97-002, and COA Circular No. 2012-004. Appropriate charges may be filed against the concerned Accountable Officers for failure to settle their cash advances, if warranted.

   Likewise, we recommended that the Management stop the practice of granting cash advances to elected officials pursuant to COA Circular No. 97-002.

4. **The Municipality recorded a 14.53% amount of collection or P1,287,685.49 out of P8,864,400.00 BLGF – approved collection target for the Real Property Tax (RPT) and Special Education Tax (SET) in CY 2022, however, compared with the total RPT and SET collectibles of the LGU for CY 2022 of P37,763,389.99, there is a significant amount of uncollected taxes of P36,475,704.50 or 96.59%, which is indicative of its inefficient collection efforts due to lack of intensive tax campaigns and non-enforcement of remedies against delinquent taxpayers as provided under Section 256 of RA No. 7160 or the Local Government Code.**

   Moreover, the RPT and SET for CY 2022 was not established at the beginning of the year based on the Real Property Tax Account Register/Taxpayer's index card,

thereby no additional amount due and collectible for the year was recognized, contrary to Section 20, Volume I of the Manual on the New Government Accounting System (NGAS) for Local Government Units (LGUs).

We recommend that Management intensify tax collections thru the formulation of strategies to improve collection of real property taxes and encourage the involvement of barangay officials in the tax campaign to reach out to a larger area, pursuant to Section 256 of the Local Government Code of the Philippines.

We also recommend that the Management instruct the Municipal Accountant to adhere to the guidelines and procedures in the accounting and reporting for RPT and SET as identified in the Manual on the NGAS for LGUs.

E. Summary of Total Suspensions, Disallowances and Charges

The status of Suspensions, disallowances and charges as of December 31, 2022 is summarized as follows:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions	6,197,082.58	-	-	6,197,082.58	0%
Disallowances	4,233,556.04	-	-	4,233,556.04	0%
Charges	-	-	-	-	0%
Total	**10,430,638.62**	**-**	**-**	**10,430,638.62**	

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2021 Annual Audit Report are summarized as follows:

Implemented		16
Not Implemented	18	
Not Implemented and Reiterated in CY 2021 AAR	10	28
Total		**44**